

- Give them a fixed pocket money every month and let them decide how much they want to spend and how much they want to save. Do not interfere in their decision. But explain them that every rupee is like their employee working for them to generate more money. The more they save, the more is the money that will work for them.
- Fig 6.1 shows a typical portfolio break up for a person with less than 18 years age group.

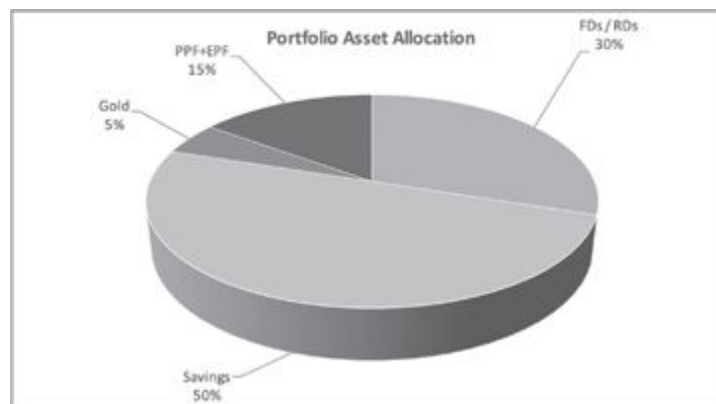


Fig 6.1 *Typical portfolio asset allocation for age group < 18 years*

Age between 18 to 25 years

This is the time when you are trying to build a career path for yourself. You have started to earn money. If you were lucky to get some rudimentary financial wisdom from your parents or a financial expert or a good book, then you are just at the cusp of launching the foundation of huge wealth. Unfortunately, in most cases, you would struggle to learn to handle money first hand for the first time in your life. It is easy to get carried away considering the intensive marketing campaign from most companies. Worst, it is the easiest to get hold of a credit card at this age. While you may be new in handling money, you must also understand that this is the age where probably you have the maximum saving potential.